

Nipsey Hussle Accounting Services was organized two years ago by Nipsey Hussle, a CPA, and operates in Greater Manila area. Record the transactions in a two-column journal.

Transactions during the month of January:

- Jan. 02 Received P180,000 cash from Nipsey Hussle as investment.
02 Purchased automobile for P450,000, paying P90,000 cash and giving six non-interest bearing notes of P60,000 for the balance to be paid at every end of the month beginning January 31.
03 Paid Taxes for one year beginning January 01, amounting to P8,100 (Charge to Taxes Expense.)
04 Received P9, 450 from a client on account.
06 Paid P1,440 to Manila Waters, Inc. for the current month’s water bill.
10 Purchased additional supplies on account, P8,730.
13 Paid miscellaneous expenses, P1,170.
14 Paid creditors on account, P14,220.
15 Sent invoices to clients for accounting services rendered during the first half of the month, P32, 600.
15 Paid salaries of employees, P15,300.
15 The owner withdrew P4,500 cash for his personal use.
17 Received P21,500 from some clients on account.
19 Paid P4,380 to PLDT for the telephone bill for the month.
20 Paid miscellaneous, P820.
24 Paid P2,110 to Meralco for the electric bill for the month.
28 The owner withdrew P3,500 cash for his personal use.
30 Paid salaries of employees, P15,300.
31 Charged customers for accounting services rendered during the second half of the month, P33, 750
31 Paid the note due today, P60,000.

Instruction:

(1) Fill in the blanks for value received and value parted with.

DATE	VALUE RECEIVED	VALUE PARTED WITH
Jan. 02	Cash 180,000	Investment
02	Automobile worth 450,000	Notes Payable worth 360k, Cash worth 90,000
03	Tax Expense	Cash worth 8,100
04	Cash 9,450	Accounts Receivable
06	Utility Expense	Cash 1,440
10	Supplies	Accounts Payable worth P8,730
13	Miscellaneous expense	Cash 1,170
14	Accounts payable	Cash 14,220
15	Accounts Receivable worth 32, 600	Service income
15	Service income	Cash 15,300
15	Withdrawal	Cash 4,500
17	Cash 21,500	Accounts receivable
19	Utilities expense	Cash 4,380
20	Miscellaneous expense	Cash 820
24	Utilities expense	Cash 2,110
28	Withdrawal	Cash 3,500
30	Service income	Cash 15,300
31	Accounts receivable 33, 750	Service income
31	Notes payable	Cash worth 60,000

(2) Give the effects of the foregoing transactions (Increase, Decrease, No Effect)

DATE	ASSETS	LIABILITIES	CAPITAL
Jan. 02	Increase	No effect	Increase
02	Increase, Decrease	Increase	No effect
03	Decrease	No effect	Decrease
04	Increase, Decrease	No effect	No effect
06	Decrease	No effect	Decrease
10	Increase	Increase	No effect
13	Decrease	No effect	Decrease
14	Decrease	Decrease	No effect
15	Increase	No effect	Increase
15	Decrease	No effect	Decrease
15	Decrease	No effect	Decrease
17	Increase, Decrease	No effect	No effect
19	Decrease	No effect	Decrease
20	Decrease	No effect	Decrease
24	Decrease	No effect	Decrease
28	Decrease	No effect	Decrease
30	Decrease	No effect	Decrease
31	Increase	No effect	Increase
31	Decrease	Decrease	No effect